B S R & Co. LLP
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Private and Confidential

The Board of Directors
SEDEMAC Mechatronics Limited
Survey No. 270/1/A/2, Pallod Farms
Baner Road, Baner,
Pune - 411045

Date: 25 February 2026

Subject: Issuance of letter on compliance with eligibility requirements under Regulation 6(1) of Chapter II of the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2018, as amended ("SEBI ICDR Regulations") in relation to proposed initial public offering of equity shares of face value of INR 10 each (the "Equity Shares") by SEDEMAC Mechatronics Limited (the "Company") comprising an offer for sale of Equity Shares by certain shareholders of the Company (hereinafter referred to as the "Proposed Offer").

Dear Sirs,

This letter is issued in accordance with the terms of our engagement letter dated 09 October 2025 and subsequent addendum dated 14 October 2025.

We, B S R & Co. LLP, Chartered Accountants, were appointed as the statutory auditors of the Company in its 18th Annual General Meeting held on 03 September 2025 for a period of five years to hold office from the conclusion of that Annual General Meeting until the conclusion of the 23rd Annual General Meeting.

Management's Responsibility

The management of the Company is responsible to ensure that the eligibility requirements as mentioned in Regulation 6(1) of the SEBI ICDR Regulations and relevant provisions of the Companies Act, 2013, as amended (the "Act") in relation to the Proposed Offer have been complied with.

The preparation of the enclosed Annexure A is also the responsibility of the management of the Company. This responsibility includes designing, implementing and maintaining internal control relevant to the preparation and presentation of the annexure, and applying an appropriate basis of preparation; and making estimates that are reasonable in the circumstances.

The enclosed Annexure A has been prepared by management from the restated financial information of the Company as at and for the nine months periods ended 31 December 2025 and 31 December 2024 and as at and for the financial years ended 31 March 2025, 31 March 2024 and 31 March 2023, which comprises of the restated statement of assets and liabilities and the restated statement of profit and loss (including other comprehensive income), the restated statement of changes in equity, the restated statement of cash flows, the material accounting policies, read together with the annexures and notes thereto (collectively, the "Restated Financial Information").

Management is also responsible for the maintenance of proper books of account and such other records as prescribed under Act.

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Auditor's Responsibility

Our responsibility is to obtain reasonable assurance and form an opinion as to whether: (i) the eligibility requirements as mentioned under Regulation 6(1) of the SEBI ICDR Regulations and relevant provisions of the Act, together as mentioned below in the Opinion paragraph, have been complied with by the management of the Company and (ii) the details contained in the Annexure A (initialled by us for identification purpose only) are in agreement with the Restated Financial Information.

We have examined the Restated Financial Information, vide our examination report dated 16 February 2026.

The Restated Financial Information have been compiled by the management from a) audited special purpose Ind AS financial statements of the Company as at and for the years ended 31 March 2024 and 31 March 2023 prepared in accordance with the basis of preparation as stated in note 2 to the special purpose financial statements, which have been approved by the Board of Directors at their meeting held on 03 November 2025; b) audited financial statements of the Company as at and for the financial year ended 31 March 2025 prepared in accordance with Indian Accounting Standards ('Ind AS') specified under Section 133 of the Act and other accounting principles generally accepted in India, which have been approved by the Board of Directors at their meeting held on 25 August 2025; and c) audited special purpose interim financial statements of the Company and as at and for the nine months period ended 31 December 2025 prepared in accordance with the basis of preparation described in Note 2.1 to the special purpose interim financial statements.

At your specific request, we have examined the enclosed Annexure A, which has been prepared by the Company based on the Restated Financial Information.

We conducted our examination in accordance with the Guidance Note on Reports or Certificates for Special Purposes (Revised 2016) ("Guidance Note") issued by the Institute of Chartered Accountants of India. The Guidance Note requires that we comply with ethical requirements of the Code of Ethics issued by the Institute of Chartered Accountants of India. Our scope of work did not involve performance of any audit test in this context of our examination. Accordingly, we do not express an audit opinion.

We have complied with the relevant applicable requirements of the Standard on Quality Control (SQC) 1, Quality Control for Firms that Perform Audits and Reviews of Historical Financial Information, and Other Assurance and Related Services Engagements.

Opinion

Based on our examination as above, and as per the information, representations and explanations given to us and the basis set out in Annexure A, in our opinion:

i. as contained in Annexure A, the Company has Net Tangible Assets of at least Rs. 30 million, calculated on a restated basis, in each of the preceding three full financial years ended 31 March 2025, 31 March 2024 and 31 March 2024;

ii. as contained in Annexure A, the Company has an average Operating Profit of at least Rs. 150 million, calculated on a restated basis, during the preceding three financial years ended 31 March 2025, 31 March 2024 and 31 March 2023, with an operating profit in each of the preceding three years;

iii. as contained in the Annexure A, the Company has Net Worth of at least Rs. 10 million, calculated on a restated basis, in each of the preceding three full financial years ended 31 March 2025, 31 March 2024 and 31 March 2023; and

iv. the Company has not changed its name within the last one year.

Further, the details contained in the Annexure A (initialed by us for identification purpose only) are in agreement with the Restated Financial Information.

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Basis conditions mentioned above, the Company complies with the eligibility requirements as mentioned under Regulation 6(1) of the SEBI ICDR Regulations and relevant provisions of the Act.

Restriction on Use

We undertake to inform the Company with a copy to the ICICI Securities Limited, Axis Capital Limited and Avendus Capital Private Limited (collectively, the "Book Running Lead Managers" or "BRLMs"), in the event of any change to the above information until the Equity Shares commence trading on the stock exchanges where the Equity Shares of the Company are proposed to be listed (the "Stock Exchanges") or one year from the date of filing of the Red Herring Prospectus, whichever is earlier, pursuant to the Proposed Offer.

This letter has been provided by us, at the request of the Company and solely for the information of the BRLMs to assist them in conducting their due-diligence and documenting their investigations of the affairs of the Company in connection with the Proposed Offer.

This letter is not intended for general circulation or publication and is not to be reproduced or used for any other purpose without our prior consent in writing, other than for the purpose stated above. Accordingly, we do not accept or assume any liability or any duty of care for any other purpose or to any other person to whom this letter is shown or into whose hands it may come without our prior written consent. We, however, hereby give consent for inclusion of this information in the Red Herring Prospectus and Prospectus proposed to be filed by the Company with the Securities and Exchange Board of India ("SEBI"), the Stock Exchanges and the Registrar of Companies, Maharashtra, situated at Pune ("RoC")and submission of this letter to SEBI or Stock Exchanges or RoC in connection with this Proposed Offer, as the case may be.

for **B S R & Co. LLP**
Chartered Accountants
ICAI firm registration number: 101248W/W-100022

Kalpesh Khandelwal
Partner
Membership No.: 133124
ICAI UDIN: 26133124FOTFND9003

Place: Pune
Date: 25 February 2026

Cc:

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ICICI Centre
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Maharashtra, India

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Annexure A

The computation of Net Tangible Assets, as restated; Operating Profit, as restated; Net Worth, as restated as derived from the Restated Financial Information, as at and for the financial years ended 31 March 2025, 31 March 2024 and 31 March 2023, is set forth below:

Particulars	31 March 2025	31 March 2024	31 March 2023
Net Tangible Assets as at*, as restated (A) *(Rs. in million)*	1,851.25	147.29	215.92
Operating Profit for the year ended**, as restated (B) *(Rs. in million)*	755.55	420.18	172.13
Net Worth as at***, as restated (C) *(Rs. in million)*	3,038.76	1,244.29	1,152.18

Source: Restated statement of assets and liabilities and restated statement of profit and loss of the Company as included in the Red Herring Prospectus / Prospectus under the section "Financial Information".

* Net Tangible Assets, as restated, mean the sum of all net assets of the Company excluding intangible assets, intangible assets under development and goodwill, each on restated basis and as defined in Indian Accounting Standard 38.

Calculation of restated Net Tangible Assets as at:

(Rs. in million)

Particulars	31 March 2025	31 March 2024	31 March 2023
Total assets	4,911.59	4,022.41	3,312.75
Less: Intangible assets	689.38	507.30	521.29
Less: Intangible assets under development	493.18	586.63	413.04
Total (I)	**3,729.03**	**2,928.48**	**2,378.42**
Non-current liabilities	394.12	630.58	588.08
Add: Current liabilities	1,483.66	2,150.61	1,574.42
Total (II)	**1,877.78**	**2,781.19**	**2,162.50**
Net Tangible Assets (restated) **(A=I-II)**	**1,851.25**	**147.29**	**215.92**

**Restated Operating Profit has been calculated as restated profit before tax excluding other income and finance costs each on a restated basis.

Calculation of restated Operating Profit for the year ended:

(Rs. in million)

Particulars	31 March 2025 (i)	31 March 2024(ii)	31 March 2023(iii)
Profit before tax	676.99	88.13	80.07
Less: Other income	41.73	52.43	68.38
Add: Finance costs	120.30	384.48	160.44
Operating Profit (restated) (B)	755.55	420.18	172.13
Average Operating profit [(i+ii+iii)/3)]	**449.29**		

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***Restated Net Worth has been defined as the aggregate value of the paid-up share capital and all reserves created out of the profits and securities premium account and debit or credit balance of restated profit and loss, after deducting the aggregate value of the accumulated losses, deferred expenditure and miscellaneous expenditure not written off, as per the restated statement of assets and liabilities, but does not include reserves created out of revaluation of assets, write-back of depreciation and amalgamation.

Calculation of restated Net Worth as at:

(Rs. in million)

Particulars	**31 March 2025**	**31 March 2024**	**31 March 2023**
Equity share capital	0.28	0.11	0.11
Equity component of compulsorily convertible preference shares	-	0.85	0.85
Other equity	3,033.53	1,240.26	1,149.29
Less: Other comprehensive income /(loss) for the year (net of taxes)	(4.95)	(3.07)	(1.93)
Net Worth (restated) (C)	**3,038.76**	**1,244.29**	**1,152.18**

For and on behalf of SEDEMAC Mechatronics Limited

Rajesh Madhukar Sheth
Chief Financial Officer
Place: Pune
Date: 25 February 2026

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